NON-REPORTABLE

IN THE SUPREME COURT OF INDIA
CRIMINAL APPELLATE JURISDICTION

CRIMINAL APPEAL NO. 3140 OF 2023
(Arising out of SLP (Crl.) No. 8712 of 2023)

SUKHDEV RAJ SEHGAL ...APPELLANT(S)

VERSUS

M/S PRAGATI MICRO FINANCE ...RESPONDENT(S)

J U D G M E N T

TARUN V. KHANDPUR, J.

1. Leave granted.

2. The appellant is aggrieved by the order dated 20.04.2023 of the High Court of Delhi in CRL.M.C. 1655/2023, by which the High Court declined to quash a complaint under Section 138 of the Negotiable Instruments Act, 1881 ("NI Act") pending against him.

3. The respondent, a non-banking finance company, advanced a loan of Rs.5,00,000/- to the appellant. The appellant gave a cheque as security. On default and recall of the loan, the cheque was presented for the outstanding amount and dishonoured. The only contention of the appellant is that a cheque given as security cannot attract Section 138 of the NI Act.

4. We have heard learned counsel for the parties. The point to be decided is whether a cheque given as security for a loan attracts Section 138 of the NI Act upon dishonour.

5. The language of Section 138 does not exclude a cheque merely because it was given as security. The inquiry is whether, on the date of presentation, the cheque represents a legally enforceable debt or other liability. A cheque given to secure a future or contingent liability does not attract the section if the contingency has not matured when it is presented.

6. Where, however, the loan has been recalled and the amount of the cheque is due on the date of presentation, a cheque originally furnished as security is a cheque issued for the discharge of a legally enforceable debt and its dishonour attracts Section 138 of the Negotiable Instruments Act, 1881.

SYNTHETIC TEST FIXTURE - fictional case generated for BenchSplit; not a real judgment

7. The High Court has applied the correct test. We see no reason to interfere. Whether the amount claimed is correct is a matter for the trial. The appeal is dismissed. Pending applications, if any, stand disposed of.

.....J.
[HARISH C. MAHAPATRA]

.....J.
[TARUN V. KHANDPUR]

NEW DELHI;
NOVEMBER 07, 2023.

SYNTHETIC TEST FIXTURE - fictional case generated for BenchSplit; not a real judgment